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J. O No. 155 of 6 July, 1990

Laws

Act No. 90-559 of 4 July, 1990 establishing the foundations of enterprises and amending the provisions of Act No. 87-571 of 23 July, 1987 on the development of patronage relating to foundations (1)

NOR: MCCX8900090L

The National Assembly and the Senate adopted,
The President of the Republic promulgates the law which reads as follows:

Art. 1st. -I. -The fourth paragraph of article the 18 of the law No. 87-571 of 23 July, 1987 on the development of sponsorship (corporate patronage) is thus written:

“When a recognized Foundation of public utility is created on the initiative of one or more commercial companies or of one or more public establishments of an industrial and commercial nature, the corporate name or denomination of at least one of them may be used for the designation of the said Foundation.”

II. -Article 18 of the law No.87-571 of the 23 July,1987 aforementioned is completed by a paragraph so written:

“The provisions of the first three paragraphs of II of the article 5 of this Act apply to all recognized foundations of public utility.”

Art. 2. - After the article 18 of Act No. 87-571 of 23 July,1987 above, is inserted an article 18-1 thus worded:

“Art. 18-1.- The initial allocation of a recognized public utility Foundation may be paid in several fractions over a maximum period of five years from the date of publication in the Official Gazette of the decree granting it recognition of public utility.”

Art. 3. - After the article 18 of Act No 87-571 of 23 July, 1987 above, is inserted an article18-2 thus worded:

“Art. 18-2.- A legacy may be made in favor of a foundation that does not exist on the day of the opening of the succession under the condition that it obtains, after the formalities of incorporation, the recognition of public utility.

“The application for recognition of public utility must be lodged with the competent administrative authority within the year following the opening of the estate, under penalty of being declared void.

“By way of derogation from the provisions of the second paragraph of the article 18, the legal personality of the recognized public utility Foundation is retroactive to the day of the opening of the estate.

“In default of a non-appointment by the testator of the persons responsible for establishing the Foundation and seeking the recognition of its public utility, these formalities are carried out by a Foundation recognized as a public utility designated by the State representative in the region where the estate is opened.

“For the fulfilment of these formalities, the persons referred to in the preceding paragraph shall have the referral on the furniture and buildings bequeathed. They have to the respect to them an administrative power unless the testator has given them more extensive powers.”

Art. 4. – The article 19 of Act No. 87-571 of 23 July, 1987 above is replaced by articles 19 to 19-13, as follows:

“Art. 19. - Civil or commercial companies, public establishments of an industrial and commercial nature, cooperatives or mutual funds may create, with a view to the realization of a work of general interest, a not for-profit legal person, called the corporate Foundation. At the time of the Constitution of the company Foundation, the founder or founders bring the initial allocation referred to in the article 19-6 and undertake to make the payments mentioned in the article 19-7 of the present law.

“Art. 19-1. - The company Foundation enjoys the legal capacity from the publication in the Official Gazette of the administrative authorization that him confers it this status.

“Such authorization shall be deemed to have been granted by the end of four months from the date of the request. It is then made the subject of the publication as laid down in the paragraph above.

“The company Foundation shall make known to the administrative authority any changes made to its statutes; these changes are permitted in the same forms as the original statutes. Where the purpose of the amendment to the statutes is to increase the program of multi-annual action, the staffing must be completed in accordance with the article 19-6.

“Art. 19-2.- The establishment of a company is created for a fixed term which may not be less than five years. No founder can withdraw if he has not paid in full sums he has pledged to pay. Upon expiry of this period, the founders or some of them only may decide the extension of the Foundation for a period of at least five years. In the event of an extension, the founders undertake a new multiannual action program within the meaning of article 19-7 below and supplement, if necessary, the staffing defined in section 19-6. The extension is permitted in the forms provided for in the initial authorization.

“Art. 19-3. - The company Foundation may, subject to the provisions of article 19-8, make all acts of the civil life that is not prohibited by its statutes, but it cannot acquire or possess other buildings other than those necessary for the purpose it proposes. All securities must be placed in registered securities, in securities for which the nominative reference slip is provided for in the article 55 of Act No. 87-416 of 17 June, 1987 on savings or in securities accepted by the Banque de France as advance guarantees. Where the company Foundation holds shares of the founding companies or companies controlled by them, the Foundation may not exercise the voting rights attached to such shares.

“Art. 19-4.- The company Foundation is administered by a Board of Directors composed for not more than two thirds of the founders or their representatives and representatives of the staff, and for at least one third of the personalities qualified in its areas of intervention. The personalities are chosen by the founders or their representatives and appointed at the first constituent meeting of the Board of Directors.

“The statutes determine the conditions for the appointment and renewal of the members of the Board.

“Board members perform their duties free of charge.

“Art. 19-5. - The Board of Directors shall make all the decisions in the interests of the company Foundation. The members decide on the legal proceedings, vote the budget, approve the accounts, and decide on borrowing.

“The President represents the foundation in legal matters and in the dealings with third parties.

“Art. 19-6. - The minimum initial allocation, the amount of which is determined under conditions laid down through regulatory means is between the fifth of the minimum amount of the multiannual program of action referred to in the article 19-7 and the fifth of the amount of the multiannual action program of the company Foundation.

“Art. 19-7. - The statutes of the company Foundation include a multiannual action program, the amount of which may not be less than the prescribed amount through regulatory means.

“The corresponding sums may be paid in several fractions over a maximum period of five years.

“The sums that each founding member undertakes to pay are guaranteed by a bank guarantee.

“Art. 19-8.- The resources of the company Foundation include:

“1° the payments of the founders, except for the initial endowment;

“2° subsidies from the State, local authorities and their public institutions;

“3° the remuneration for services rendered;

“4° revenues from initial endowment and resources referred to in 1°, 2° and 3° above.

“Under penalty of withdrawal of the administrative authorization provided for in the article 19-1, the company Foundation cannot make call to the public generosity; it cannot receive donations nor bequests.

“Art. 19-9. - Company foundations establish an annual balance sheet, an income statement and an annex. They appoint at least one auditor and one substitute, selected from the list mentioned in article 219 of law No. 66-537 of 24 July, 1966 on commercial companies, which perform their duties under the conditions laid down by the Act; the provisions of article 457 of the law aforementioned are applicable to them. The penalties provided for in section 439 of the Act are applicable to the President and members of the boards of company foundations that will not, each year, established a balance sheet, an income statement and an annex. The provisions of articles 455 and 458 of the same law are also applicable to them.

“Company foundations whose resources exceed a prescribed threshold by way of regulation are required to establish a situation of feasible and available asset and liabilities due, an account of projected income statement, and a funding plan. These documents are analyzed in written reports on the evolution of the company Foundation, established by the Board of Directors; they are communicated to the external auditor. In the case of non-compliance of the provisions of present paragraph or if the reports referred to it call for comments on the part on the external auditor, the latter indicates it to the Board of Directors by means of a written report.

“The external auditor may draw the attention of the President or the members of the Board of the company Foundation on any fact that may compromise the continuity of the activity he has identified during its mission; it can ask the Board of directors to discuss the matter; he attends the meeting; in the case of non-compliance of these provisions or if, despite decisions taken, he notes that the continuity of the activity remains compromised, the external auditor establishes a special report which he sends to the administrative authority.

“Art. 19-10. - The administrative authority shall ensure the regularity of the operation of the company Foundation; to this end, it can be given all documents and carry out any useful investigations.

“The company Foundation shall, each year, address to the administrative authority a report on the status of its activities to which is attached the report of the auditor and annual accounts.

“Art. 19-11.- When the Foundation is dissolved, either by the expiry of the period, or amicably by the withdrawal of all the founders, provided that they have fully paid the sums they have pledged to pay, a liquidator is appointed by the Board of Directors. If the Board has not been able to proceed with this nomination or if the dissolution results from the withdrawal of authorization, the liquidator is designated the judicial authority.

“The appointment of the liquidator is published in the Official Gazette.

“Art. 19-12. - In the event of dissolution of a company Foundation, the unused resources and endowment shall be allocated by the liquidator to one or many public or recognized public institutions whose activity is analogous to that of the dissolved company Foundation.

“Art. 19-13. - A decree in Council of State lays down detailed rules for the application of articles 18 to 19-12 of this law.”

Art. 5. - The first sentence of the first of the article 238bis of the General Tax Code is supplemented by the words: “especially when these payments are made to the benefit of a company Foundation, even if the latter bears the name of the founding company.”

Art. 6.- The article 20 of the abovementioned law No. 87-571 of 23 July, 1987 is worded as follows:

“Art. 20.- Only recognized foundations of public utility may make use, in their title, their statutes, contracts, documents or publicity, of the designation of Foundation. However, may also be referred to as the irrevocable assignment, with a view to realization of general interest and non-profit, property, rights or resources to a recognized Foundation of public utility whose statutes have been approved as such, given that these assets, rights or resources are managed directly by the receiving Foundation, and without the creation of a separate legal entity for that purpose.

“Only company foundations that meet the conditions set out in sections 19-1 to 19-10 of this Act may use, in their title, their statutes, contracts, documents or publicity, the name of company Foundation. It may be accompanied by the name (s) of the founders.

“Groupings constituted before the publication of this Act, which use in their denomination the terms of Foundation or of company Foundation, must comply to its provisions before 31 December, 1991.

“Presidents, directors or directors of groups who violate the provisions of this article shall be punished by a fine of 5000F to 15000F and, in the case of recidivism, by a fine of 10,000F to 30,000F.”

Art. 7. - After the article 20 of the above Act No 87-571 of 23 July, 1987, is inserted an article 20-1 thus worded:

“Art. 20-1.- A National Council of foundations is established with the task of:

- “- gathering and disseminating information on the merits;
- “- establishing an annual report on this subject matter;
- “- proposing to the public authorities actions aimed at the development of the sponsorship (patronage) of foundations.

“The composition and operating procedures of this Council shall be set by Decree in Council of State.”

This law shall be enforced as a law of the State.

(the pages that follow are not fully translated)

Done in Paris, 4 July, 1990.

Michael

By the President of the Republic:

The Prime Minister,
MICHEL ROCARD

The Minister of State, Minister of the Economy,

Finance and Budget,

Pierre Beregovoy

The guard of the seals, Minister of
Justice, Pierre ARPAILLANGE

The Minister of the Interior,

PIERRE JOXE

The Minister of Culture, Communication,
Major Works and the Bicentennial,

JACK LANG

The Minister delegate to the Minister of State,

Minister of Economy, Finance and Budget, in charge of

the budget, Michel CHARASSE

(1) preparatory work: Act No. 90-559.

Senate:

Bill 4 (1989-1990);

Report by Mr. Pierre Lafitte, on behalf of the Committee on Cultural Affairs,
No. 213 (1989-1990);

Discussion and adoption on 26 April,

1990 .

National Assembly:

Bill, adopted by the Senate, no. 1304;
Report by Mrs Hélène Mignon, on behalf of the Committee on cultural Affairs , No 1368;
Discussion adopted on 28 May 1990.

Senate:

Bill, as amended by the National Assembly, no. 327 (1989-1990);
Report by Mr Pierre Laffitte, on behalf of the Committee on cultural Affairs , No 345 (1989-1990);
Discussion and adoption on 13 June 1990.

National Assembly:

Bill , adopted with amendments by the Senate at second reading, no . 1453;
Report by Mrs Hélène Mignon, on behalf of the Committee on cultural Affairs , No 1475;
Discussion and adoption on 22 June 1990.